

Indian Railway Finance Corporation Ltd

Nifty 100 Company Tearsheet | IRFC

Financials | Incorporated in 1986, Indian Railway Finance Corporation borrows funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways as finance lease

ROE

13.0%

ROCE

5.8%

Debt / Equity

8.38

Revenue CAGR 5Y

19.1%

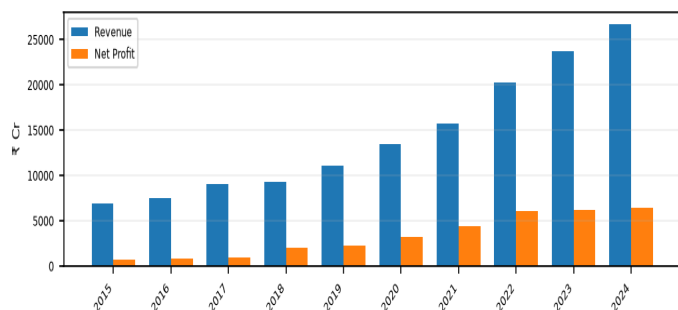
PAT CAGR 5Y

23.2%

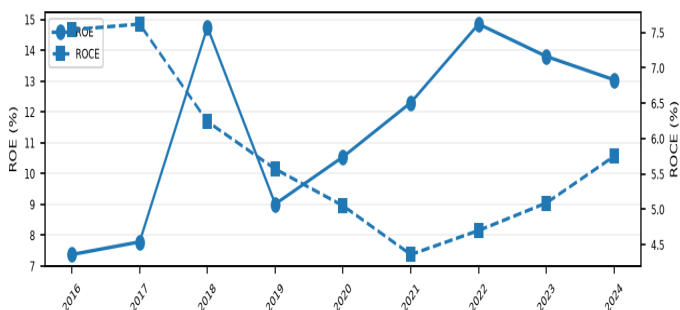
Free Cash Flow

■7,906 Cr

10-Year Revenue and Net Profit



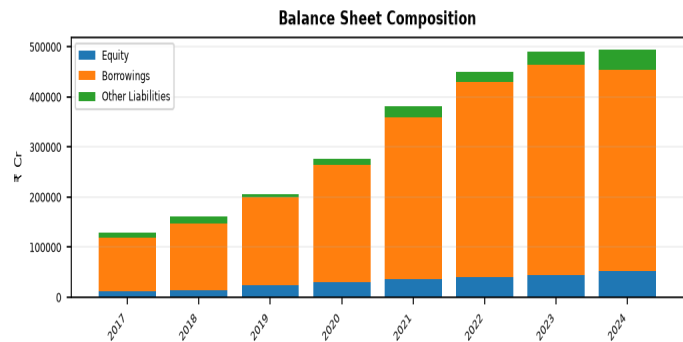
ROE and ROCE Trend



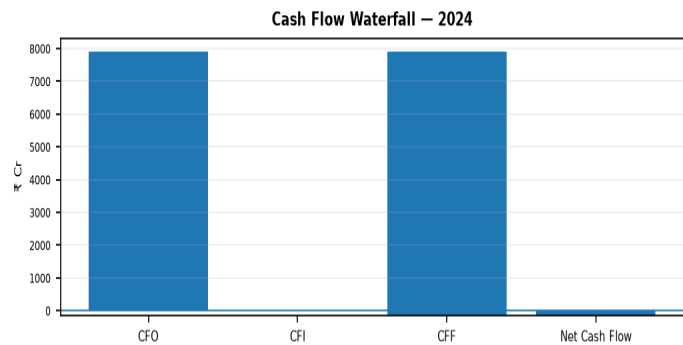
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Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

CAPITAL ALLOCATION: Reinvestor